

A Tale of Two Acts: The Tax Reform Act of 1986 and the Revenue Reconciliation Act of 1993

The Tax Reform Act of 1986

The Tax Reform Act of 1986 (TRA 86) is a federal law that simplified the U.S income tax code. The law made numerous changes to the tax code, including downsizing myriad income tax rates to just two, eliminating some tax shelters, and altering or eliminating certain tax deductions.

- Eliminated accelerated depreciation
- Set straight line depreciation timelines
 - 27.5 years (residential)
 - 31.5 years (non-residential)
- Losses can only offset passive income unless:
 - Investor's taxable income does not exceed \$100,000 (before the deduction is applied), and
 - Investor is an active participant in the property's operation and management
- Actively managing investors can shelter \$25,000 of passive or active income, but that shelter phases out as the adjusted gross income (AGI) grows past \$100,000
- \$25,000 tax shelter completely eliminated if AGI exceeds \$150,000

The Revenue Reconciliation Act of 1993

The Revenue Reconciliation Act of 1993 (RRA 1993) further tweaked the tax code, and updated the laws laid out in TRA 86. In particular, it eliminated certain tax shelter limitations for investors who meet specific requirements.

- Increased non-residential depreciation timeline to 39 years
- Unlimited rental losses can be claimed against non-passive income if:
 - Investor actively participates in 50% or more in the management of the property, and
 - Investor performs at least 750 hours of service managing the property

So what does this mean for your investor? Consider real estate investor Ingrid. She owns several rental properties, but only handles about 30% of their day-to-day management. This means that Ingrid falls under the "passive" umbrella of the tax code. Last year, Ingrid's AGI was \$140,000, and her losses totaled \$25,000. Because she earned \$40,000 more than the \$100,000 limit, her deduction was decreased by 50 cents for every dollar of that \$40,000-or \$20,000. Bottom line? Ingrid can only claim a \$5,000 loss. Therefore, her taxable income is \$135,000. (And remember, she can only claim that loss if she is actively involved in operating and managing the rental properties she owns.)

If Ingrid wants to avoid this limitation next year, she'll have to take over at least 50% (750 hours of service) of the management and operation of her property.

As noted in the list above, TRA 86 doesn't allow investors to use a loss from their passive investments to shelter income that's considered "active" (such as salary) or counts as portfolio income (such as capital gains, royalties, stock dividends, etc.). Overall, TRA 86 limits the passive investor's investment-based deductions to investment income.

Keep in mind that special rules apply to real estate professionals regarding passive losses, provided the professional meets certain conditions. Once these conditions are met-and they must be met on an annual basis-a real estate professional isn't subject to the passive loss limitations.